

Foundations for Value Creation

JPX Group is committed to fulfilling its social mission as a core infrastructure of Japan by developing a management foundation that supports value creation, encompassing corporate governance and risk management systems.

Corporate Governance

JPX Group is committed to developing its corporate governance system appropriately to fulfill its social mission as a core infrastructure of the Japanese market.

Fundamental Views

In order to implement management in line with its corporate philosophy, JPX Group is aware of the importance of having its stakeholders understand its corporate philosophy and corporate activities. Therefore, it has established fundamental views on corporate governance from the following four perspectives. Based on these fundamental views, the Group is committed to developing its corporate governance system appropriately based on each principle in Japan's Corporate Governance Code.

1 Corporate Philosophy and Social Mission

JPX Group operates markets that are public assets, and its social mission is to pursue sustainable development of its markets.

2 Market Operations

JPX Group operates markets with the view that garnering support for and fostering confidence in the markets it establishes are in the common interest of all investors and market users, and that maintaining and enhancing such support and confidence will build the foundations for sustainable development of its markets.

3 Enhanced Corporate Value

In pursuing sustainable development of its markets, JPX Group must continue to accommodate the diverse needs of shareholders and other stakeholders, and through these the Group will enhance its corporate value over the medium to long term.

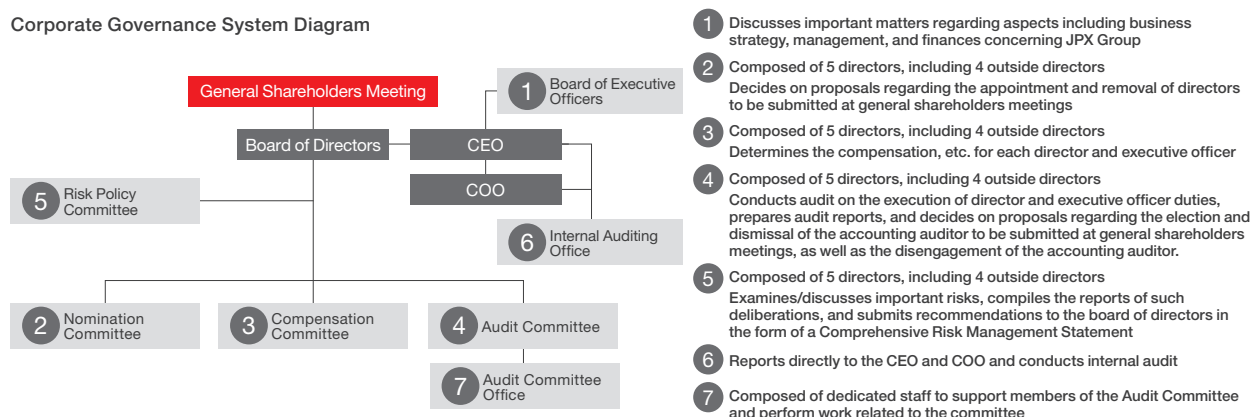
4 Effective Corporate Governance

JPX Group strives to constantly improve its corporate governance system to facilitate more effective and properly functioning systems, so as to support the sustainable development of its markets.

Corporate Governance System

JPX Group clearly segregates the management oversight and supervision functions from the business execution functions, and adopts the structure of a Company with Three Committees to strengthen oversight and supervision functions and raise the transparency of management.

Corporate Governance System Diagram



Supervisory Matters of the Board of Directors

In addition to making decisions on basic management policies and important matters, the board of directors is composed of a majority of outside directors in order to improve management transparency and accountability and enhance supervision of the appropriateness of business execution, and is mainly responsible for the following supervisory functions.

(i) Management strategy

The board of directors monitors whether the Group's management strategies, including the Medium-Term Management Plan, are consistent with the goal of increasing corporate value while fulfilling its social mission as a core infrastructure of the Japanese market based on JPX's corporate philosophy. In order to enhance the effectiveness of this, the board of directors discusses updates to the Medium-Term Management Plan for each fiscal year, monitors progress, and holds regular discussions with the Group CEO, as well as the president & CEOs of major business subsidiaries.

(ii) Risk management

The board of directors supervises JPX's risk management in recognition that maintaining sound and stable business operations is crucial for JPX Group to continue raising corporate value while fulfilling its public role as a market operator. In order to enhance the effectiveness of this, the Risk Policy Committee, which consists primarily of outside directors, identifies the significant risks such as system risk and accident/disaster (BCP) risk for each fiscal year and establishes basic policies for responses to each significant risk in a Comprehensive Risk Management Statement. This is then brought to a resolution by the board of directors. In addition, JPX receives reports on the status of company-wide risk management through the Risk Management Committee, which has been established on the executive side.

(iii) ESG (sustainability)

The board of directors monitors the status of initiatives regarding ESG (sustainability) based on the belief that, in addition to responding to JPX Group's own ESG issues, by supporting the initiatives of the listed companies and investors that are its stakeholders from the perspective of financial and capital markets, the Group is contributing to the sustainable development of the market and the realization of a prosperous society. Specifically, the board of directors passes resolutions on environmental policies and human rights policies and receives reports on the status of responses and important matters in line with those policies.

Composition of the Board of Directors

In order to reflect the opinions of diverse stakeholders in management and market operations, JPX has a basic policy of appointing directors with a diversity of expertise and experience, and in addition to appointing a majority of independent directors, striving to increase its proportion of female directors to at least 30%.

In addition, considering JPX's management strategy and the characteristics of its business as a core infrastructure of the Japanese market, JPX identifies the following as expertise required of its directors: experience as a corporate manager; knowledge of JPX's business (finance, technology, etc.); expertise in financial accounting or auditing; expertise in law or risk management; and advanced academic experience or knowledge of government agencies, etc.

From the viewpoint of fully exercising the management oversight and business execution functions and ensuring appropriate and efficient operations as a board of directors, the board of directors consists of 13 members, of whom four are women and ten are independent. The breakdown of the ten independent directors of JPX is as follows: four corporate managers, one legal expert, one certified public accountant, and four researchers or former officials of administrative

bodies. Each director has considerable experience and insight in their respective field and contributes to a structure that allows for multifaceted external perspectives to be readily incorporated into the management of JPX. Please refer to P. 79 "Directors" for details on the directors and their expertise.

Expertise	Our Views
Corporate Management	We believe that in order to practice management oversight of JPX Group with a high degree of sensitivity, it is necessary to have directors with experience as corporate managers. Since listed companies in particular are among the Group's key stakeholders, we believe it is necessary for the board of directors to include directors who have experience in the management of listed companies.
Finance	We believe that directors with broad financial expertise are necessary to oversee the management of JPX Group, whose business is the operation of the core infrastructure of financial and capital markets.
Accounting, Audit	We believe that directors with expertise in financial accounting and auditing are necessary to oversee the proper and efficient execution of the Group's business.
Legal Affairs, Risk Management	Within the rapidly changing business environment surrounding JPX Group, we believe that directors with expertise in law and risk management are necessary to oversee appropriate risk management.
Researcher, Government Agencies	We believe that directors with advanced academic experience or knowledge of government agencies or similar organizations are necessary to oversee the management of the Group, in aiming to create new services and achieve more sophisticated use of information while operating financial and capital markets in consideration of public visibility and public interest.
Technology	We believe that the stability and reliability of trading systems and other systems are essential for the stable operation of financial and capital markets, and that directors with broad knowledge of technology are necessary to oversee the management of the Group, which is oriented toward the expansion of data and digital businesses.
Time Spent in Deliberation	
1,244 minutes	
Number of Items Approved	
28	

Nomination, Compensation, and Audit Committees

As required by law, JPX has a Nomination Committee and a Compensation Committee for the purpose of ensuring transparency and objectivity in the appointment/removal and compensation of directors and executive officers. Outside directors are in the majority for both of these committees. The appointment and removal of directors and executive officers is thoroughly deliberated and determined by the Nomination Committee and put forth for approval at general shareholders meetings, and the compensation of directors and executive officers is determined by the Compensation Committee. JPX also has an Audit Committee, as required by law, to perform the audit function. This committee is made up of five directors (including one full-time Audit Committee member), of which four, including a certified public accountant, are outside directors. Additionally, there is an Audit Committee Office to assist the committee members in the performance of their duties.

Risk Policy Committee

JPX has a Risk Policy Committee with the aim of further improving its corporate governance by bringing an outside perspective to risk management. The committee consists mainly of outside directors. For further information on JPX's risk management systems, including information on the details of activities of the Risk Policy Committee, please refer to "Risk Management" on page 81.

Independent Directors Committee

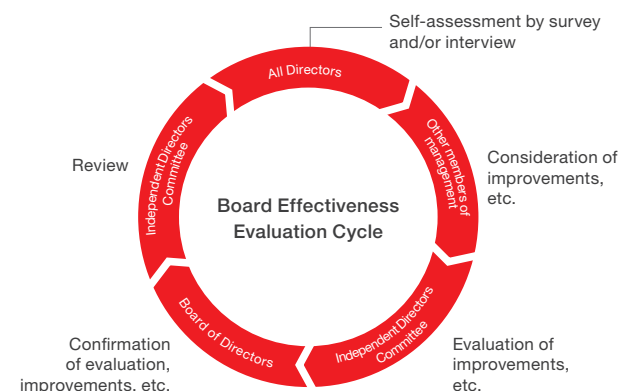
JPX has an Independent Directors Committee as a corporate organ composed exclusively of part-time independent directors to allow them to exchange information and form consensus among themselves. The committee helps independent directors to better perform management oversight and facilitates active discussion at board of directors meetings.

Objectives	For part-time independent directors to exchange information and form consensus (The chairperson of the board, the Group CEO, and other members of management may participate upon the request of the committee.)
Frequency of meetings	In principle, at least twice a year (The committee chairperson convenes meetings as needed.)
Committee chairperson	The committee chairperson convenes meetings and presides over them. When the committee deems it necessary for ensuring smooth communication, the committee chairperson may report the details of discussions at committee meetings to the chairperson of the board, the Group CEO, and other members of management.

Evaluating the Effectiveness of the Board of Directors

As an annual process, JPX carries out a cycle of analysis and evaluation of the board of directors' effectiveness, as well as that of the Nomination, Compensation, and Audit Committees. To increase the objectivity and transparency of the evaluation process, we utilize the Independent Directors Committee, enabling us to actively incorporate the opinions of independent directors in our efforts to improve governance.

 Evaluation process, an overview of evaluation results and other related matters: JPX's Corporate Governance Report
<https://www.jpx.co.jp/english/corporate/governance/policy/index.html>



Training for Outside Directors

Each of the JPX outside directors has sufficient knowledge in regard to management and corporate governance thanks to their expert knowledge and experience. With the goal of helping these outside directors deepen their understanding of JPX Group's business, the Group holds lectures and observation sessions based on rulebooks and other resources, discussion workshops where they can keep up to date on knowledge and information regarding the exchange business, and events to exchange views with external experts on subjects such as the global financial landscape, risk management, and fintech.

Succession Plan

The Representative Executive Officer, Group CEO of JPX is selected by a resolution of the board of directors based on a proposal by the Nomination Committee, which is in accordance with predetermined CEO Personnel Requirements. In terms of the actual selection process, the Nomination Committee makes its selection in accordance with the Succession Plan, which is based on the

CEO Personnel Requirements. In implementing the Succession Plan, the Nomination Committee members monitor multiple candidates for succession, narrow down the list of candidates, and make a final decision on the candidates for the next CEO. JPX's policy is for the Nomination Committee to work with the board of directors on an ongoing basis to consider how to make the Succession Plan more appropriate.

7 Basic policy of compensation for directors and executive officers

In order to contribute to the sustainable growth of JPX and the improvement of corporate value over the medium to long term, compensation for directors and executive officers shall be determined in accordance with the following policy.

It should be appropriate for the duties and responsibilities of the directors and executive officers, etc.

It should motivate the achievement of the long-term vision and management plan

It should maintain enough competitiveness to secure the human resources necessary to steadily implement JPX's corporate philosophy

In view of our responsibility as a part of social infrastructure, it should be appropriate in light of social conditions, and ensure objectivity and transparency of decision-making procedures, etc.

Based on the above basic policy of compensation for directors and executive officers, compensation is composed of **a** basic salary, **b** yearly incentive (bonus), and **c** medium- to long-term incentive (stock compensation and monetary compensation).

Components of Compensation for Directors and Executive Officers



Note: The ratio of the components of the CEO and executive officers' compensation package is as indicated in 2: Ratio of the components of the CEO and executive officers' compensation package.

Note that compensation awarded to directors who do not concurrently serve as executive officers is limited to **a** basic salary.

The details of each type of compensation are as follows.

a Basic salary

The basic salary is determined in accordance with each executive's position and duties as consideration for their participation in management and business execution, and with reference to the level of executive compensation at other companies, based on research by external expert organizations and other sources.

b Yearly incentive (bonus)

The yearly incentive (bonus) is awarded to executive officers in proportion to net income (for the purposes of this section, "net income" refers to net income attributable to owners of the parent company as indicated in the consolidated statement of income). Net income is used as the metric as it is the source of investment aimed at increasing corporate value as well as the capital used in the payment of dividends to shareholders. It is also because it is appropriate to base a yearly incentive (bonus) awarded every fiscal year on the net income reported in that fiscal year. Also, to evaluate the performance of each executive officer in each fiscal year, a bonus is awarded based on evaluation of that officer's individual performance.

It was previously stipulated that the yearly incentive (bonus) will not be awarded if net income is less than JPY 10 billion for a fiscal year. From FY2025, to facilitate consciousness of capital cost, this requirement has been revised to stipulate that the bonus will not be awarded if the ROE falls below the cost of capital.

c Medium- to long-term incentive (stock compensation and monetary compensation)

■ Medium- to long-term incentive (stock compensation)

The medium- to long-term incentive (stock compensation) is paid to executive officers with the aim of aligning the interests of executives closer to those of shareholders, providing motivation for corporate value enhancement over the medium to long term, and strengthening the link between performance and compensation. JPX stock compensation utilizes a share delivery trust framework and is composed of a fixed amount and a performance-linked amount.

For the fixed amount, executives are issued points every fiscal year in accordance with their position, etc., and are awarded shares corresponding to these points three years later.

For the performance-linked amount, all executives are assigned base points each fiscal year. Three years later, shares are awarded for the number of shares calculated by multiplying the base points by a coefficient based on the degree of achievement of certain performance conditions.*,**

■ Medium- to long-term incentive (monetary compensation)

The medium- to long-term incentive (monetary compensation) is awarded to executive officers in line with the performance of consolidated ROE and sustainability measures set out in the Medium-Term Management Plan 2024.

This incentive will be maximized if either consolidated ROE for the last fiscal year of the Medium-Term Management Plan or the average consolidated ROE over the three years of the Plan is 15% or higher. In the event both are less than 15%, the amount paid shall be based on the average consolidated ROE over three years, provided that the consolidated ROE for each fiscal year is at least 10%. The amount of incentive for each executive officer will be decided based on their respective positions.

In addition, with respect to the sustainability

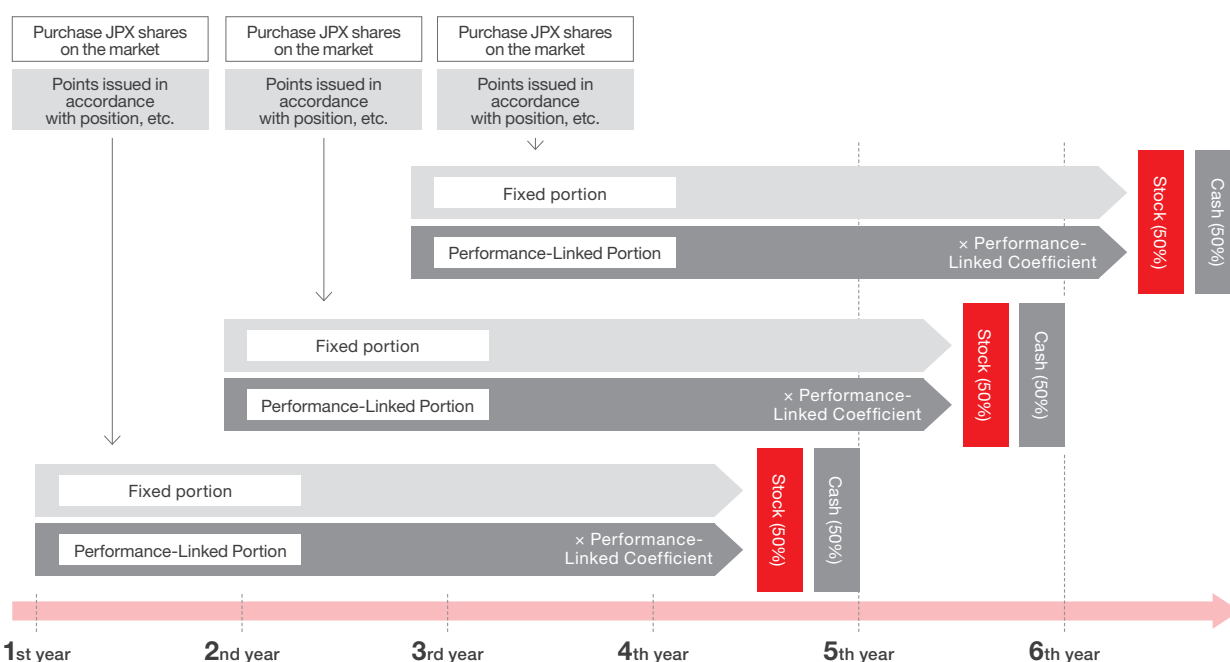
measures specified in the Medium-Term Management Plan 2024 (promoting sustainability using market mechanisms, achieving carbon neutrality as a corporation, achieving carbon neutrality in securities market operations by 2030, etc.), if the plan has been achieved by the end of the Medium-Term Management Plan 2024, the final incentive amount will be calculated by multiplying the incentive amount calculated based on the degree of achievement of the aforementioned consolidated ROE by a factor of 2 for the Group CEO and 1.5 for the other executive officers.

From FY2025, JPX has also revised the medium- to long-term incentive (monetary compensation) in accordance with the start of the new Medium-Term Management Plan 2027. With respect to consolidated ROE, in line with the financial targets set out in the Medium-Term Management Plan 2027, the amount paid will reach a maximum if consolidated ROE reaches 18% or more in any of the three years of the plan; and with respect to sustainability measures, the amount paid will reach a maximum if JPX's non-financial commitments, mainly the three indicators from the results of the engagement survey (Work Engagement, Employee Development, and Permeation of Corporate Philosophy) which are set out in the plan, hit their targets. To match this, the performance-linked portion of the medium- to long-term incentive (stock compensation) has also been revised.***

Terms and conditions regarding performance pertaining to performance-linked portion of medium- to long-term incentive (stock compensation)

		Consolidated ROE		
		Below 10%	10% to under 14%	14% and above
Total Shareholder Returns (TSR)	Outperform	Performance-Linked Coefficient 50%	Performance-Linked Coefficient 100%	Performance-Linked Coefficient 150%
VS JPX-Nikkei 400 (total return)	Underperform	Performance-Linked Coefficient 0%	Performance-Linked Coefficient 50%	Performance-Linked Coefficient 100%

Image of Stock Compensation Plan



JPX is a Company with Three Committees. It has established a statutory Compensation Committee for the purpose of ensuring transparency and objectivity concerning compensation paid to directors and executive officers. JPX's Compensation Committee is made up of a majority of independent directors and chaired by an independent director. Based on laws and regulations, the Compensation Committee has the authority to establish the policy concerning decisions on the details of compensation for each director and executive officer and the authority to decide the details of compensation for each director and executive officer based on said policy. For FY2024, the Compensation Committee decided the details of the compensation for each director and executive officer after appropriate discussion based on the above policy determined by the Compensation Committee. JPX considers the compensation to be in line with the above policy.

* All executives are given performance-linked base points each fiscal year. Three years later, shares are awarded corresponding to the final tally of performance-linked points, which is calculated by multiplying the performance-linked base points with a performance-linked coefficient based on the degree of achievement of certain performance conditions. The performance-linked coefficient is set within a 0–150% range, based on the conditions outlined in the table on page 77: (i) JPX's consolidated ROE exactly three years from the issuance date of the performance-linked base points and (ii) a comparative assessment of Total Shareholder Return (TSR) and the performance of the JPX-Nikkei Index 400 (total return index) for the three-year period from the end of the fiscal year before the performance-linked base points were issued. Consolidated ROE is used as an indicator from the perspective of improving capital efficiency, while TSR is used from the perspective of improving value for shareholders.

** In accordance with JPX's rules for executive officers, in principle, shares in JPX acquired through stock compensation, etc. may not be sold until one year has elapsed from the time of departure from JPX. Furthermore, based on the share delivery regulations, in the event of any misconduct on the part of the officer to whom the stock compensation is granted, delivery of shares, etc. not yet delivered shall be canceled, and in the case where delivery has been made, a request for the return of the amount equivalent to the delivery may be made to the officer.

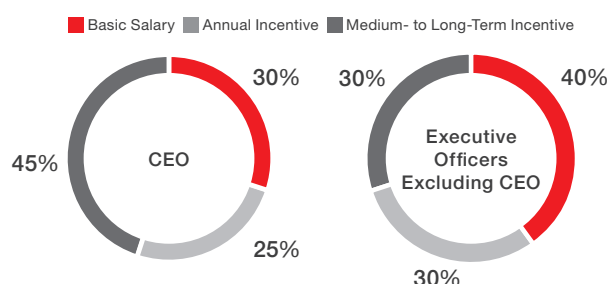
*** The performance-linked coefficient has been revised so that it will be a maximum of 200% if consolidated ROE three years from the point issuance date is at 18% or more and the comparative growth rate of the TSR of JPX's shares exceeds 150%.

2 Ratio of the components of the CEO and executive officers' compensation package

Compensation for the CEO and executive officers consists of basic salary, yearly incentive (bonus), and medium- to long-term incentive. The right table shows the ratio of the components of the CEO's and executive officers' compensation packages, assuming the earnings forecast announced on April 28, 2025.

Note: Percentages are based on the assumption that the performance-linked coefficient for stock compensation is 100% and that one year's worth for FY2024 of medium- to long-term incentive related to achievement of the Medium-Term Management Plan has been included.

Ratio of the components of the executive officers' compensation package



Compensation paid to directors and executive officers

Director/Executive Classification	Total Compensation (JPY million)	Total Compensation by Category (JPY million)					Eligible Number of Executives
		Basic Salary	Annual Incentive	Medium- to Long-Term Incentive			
		Monetary Compensation	Monetary Compensation (Bonus)	Stock Compensation		Monetary Compensation (Degree of Achievement of the Medium-Term Management Plan)	
				Fixed portion	Performance-Linked Portion		
Directors (excluding Outside Directors)	43	43	-	-	-	-	2
Executive Officers	647	200	190	114	64	78	6
Outside Directors	196	196	-	-	-	-	13

Notes:

- JPX does not pay director compensation to directors who concurrently serve as executive officers.
- Of the executive officers, those who also serve as representative directors of Tokyo Stock Exchange, Inc., Osaka Exchange, Inc., JPX Market Innovation & Research, Inc., Tokyo Commodity Exchange, Inc., and Japan Securities Clearing Corporation are not included in the number of eligible executive officers because they are not paid compensation as executive officers.
- The above table includes one director (excluding outside directors) and four outside directors who retired at the conclusion of the Annual General Shareholders Meeting held on June 19, 2024.
- It is JPX policy that outside directors purchase shares of the company from their basic salary through the Officers' Shareholding Association.
- Bonuses are paid at, mainly, an amount that is in correlation with JPX's net income for the year under review and are not paid if net income fails to reach JPY 10.0 billion. Net income for the year under review was JPY 61,092 million.
- Concerning the indicators used for the performance-linked portion of stock compensation, consolidated ROE comprises a two-tier target of 10% or more and 14% or more, and the performance-linked coefficient changes depending on the level of achievement. Concerning Total Shareholder Return (TSR), the target is for TSR to outperform the growth rate of the JPX-Nikkei Index 400 (total return index). The amount of the aforementioned stock compensation is the amount among the stock compensation for FY2021 to FY2024 that is recorded as an expense in the fiscal year. Of that, the indicators for stock compensation granted in FY2021 were as follows: consolidated ROE was 19.0%, and the three-year TSR of the company's shares outperformed the growth rate of the JPX-Nikkei Index 400 (total return index) over the same period. Accordingly, the performance-linked coefficient was 150%.
- With respect to monetary compensation related to the degree of achievement of the Medium-Term Management Plan, executive officers who retire on March 31, 2025 will be paid an amount commensurate with their tenure. Consolidated ROE of at least 10% is a condition for payment, and the amount paid based on consolidated ROE will reach a maximum if consolidated ROE reaches 15% or more during their term of office under the current Medium-Term Management Plan. Since consolidated ROE was 18.3% in FY2024, the maximum payment amount was reached. In addition, as the sustainability measures promoted under the Medium-Term Management Plan all made steady progress in FY2024, an additional amount will be added to reflect this.
- The bonus, the performance-linked portion of the stock compensation, and the monetary compensation related to the degree of achievement of the Medium-Term Management Plan fall under "performance-linked compensation, etc." provided for by the Regulations for Enforcement of the Companies Act, and stock compensation falls under "non-monetary compensation, etc." provided for by the same Act.

Directors

No. of JPX shares held

3,200 shares

Independent Director
Chairperson of the
Board of Directors

Kinoshita Yasushi

It has been deemed that Mr. Kinoshita can be expected to perform his role in a way in which his capacity to identify with JPX's corporate philosophy and social mission, as well as his abundant experience and insight in corporate management and government institutions and insight in financial policy, financing, and economics in general, are reflected in the management of JPX Group.



Areas of Expertise of Directors and Attendance at Board and Committee Meetings

Corporate management	Finance	Accounting/Audit	Legal affairs/Risk management	Research/Government Agencies	Technology
◆	◆			◆	

FY2024 Meeting Attendance

Board of Directors 12/12

180,668 shares

Director and
Representative Executive
Officer, Group CEO

Yamaji Hiromi

It has been deemed that Mr. Yamaji can be expected to perform his role in a way in which his abundant experience of and insight into the securities markets, acquired through working at a securities company, and his experience and knowledge gained from leading JPX Group as Director and Representative Executive Officer, Group CEO are reflected in the management of JPX Group.



Corporate management	Finance	Accounting/Audit	Legal affairs/Risk management	Research/Government Agencies	Technology
◆	◆				

FY2024 Meeting Attendance

Board of Directors 12/12 Nomination Committee 8/8

Compensation Committee 4/4

Risk Policy Committee

124,586 shares

Director and
Representative Executive
Officer, Group COO

Iwanaga Moriyouki

It has been deemed that Mr. Iwanaga can be expected to perform his role in a way in which his experience and knowledge gained from leading JPX Group as Director and Representative Executive Officer, Group COO are reflected in the management of JPX Group.



Corporate management	Finance	Accounting/Audit	Legal affairs/Risk management	Research/Government Agencies	Technology
◆	◆				

FY2024 Meeting Attendance

Board of Directors 12/12

700 shares

Independent Director

Philippe Avril

It has been deemed that Mr. Avril can be expected to perform his role in a way in which his capacity to identify with JPX's corporate philosophy and social mission, as well as his experience and insight in domestic and international financial and capital markets, and his experience in holding key posts at financial institutions and industry associations in various countries, are reflected in the management of JPX Group.



Corporate management	Finance	Accounting/Audit	Legal affairs/Risk management	Research/Government Agencies	Technology
◆	◆				

FY2024 Meeting Attendance

Board of Directors 10/10 Nomination Committee 6/6

Compensation Committee 3/3

Independent Directors Committee

21,800 shares

Independent Director

Endo Nobuhiro

It has been deemed that Mr. Endo can be expected to perform his role in a way in which his capacity to identify with JPX's corporate philosophy and social mission, as well as his abundant experience and keen insight in corporate management and systems and networks, are reflected in the management of JPX Group.



Corporate management	Finance	Accounting/Audit	Legal affairs/Risk management	Research/Government Agencies	Technology
◆					◆

FY2024 Meeting Attendance

Board of Directors 12/12 Nomination Committee 8/8

Independent Directors Committee

4,900 shares

Independent Director

Ota Hiroko

It has been deemed that Ms. Ota can be expected to perform her role in a way in which her capacity to identify with JPX's corporate philosophy and social mission, as well as her abundant experience in government agencies and keen insight in the economy and financial policy, are reflected in the management of JPX Group.



Corporate management	Finance	Accounting/Audit	Legal affairs/Risk management	Research/Government Agencies	Technology
	◆			◆	

FY2024 Meeting Attendance

Board of Directors 12/12 Compensation Committee 4/4

Audit Committee 12/12

Independent Directors Committee

7,000 shares

Independent Director

Kama Kazuaki

It has been deemed that Mr. Kama can be expected to perform his role in a way in which his capacity to identify with JPX's corporate philosophy and social mission, as well as his abundant experience and keen insight in corporate management and finance and accounting are reflected in the management of JPX Group.



Corporate management	Finance	Accounting/Audit	Legal affairs/Risk management	Research/Government Agencies	Technology
◆		◆			

FY2024 Meeting Attendance

Board of Directors 12/12 Compensation Committee 4/4

Audit Committee 9/9

Independent Directors Committee

Committee chairperson						Committee member					
Corporate management	Finance	Accounting/Audit	Legal affairs/Risk management	Research/Government Agencies	Technology	Corporate management	Finance	Accounting/Audit	Legal affairs/Risk management	Research/Government Agencies	Technology
		◆									
FY2024 Meeting Attendance											
Board of Directors		10/10	Audit Committee		9/9						
Risk Policy Committee			Independent Directors Committee								



No. of JPX shares held

700 shares

Independent Director **Sumida Sayaka**

It has been deemed that Ms. Sumida can be expected to perform her role in a way in which her capacity to identify with JPX's corporate philosophy and social mission, as well as her keen insight in accounting and auditing from the standpoint of a financial and accounting professional, are reflected in the management of JPX Group.

Significant Concurrent Position(s)

Outside Director, Audit and Supervisory Committee Member, Advantest Corporation
Outside Audit & Supervisory Board Member, Furukawa Electric Co., Ltd.

			◆								
FY2024 Meeting Attendance											
Board of Directors		12/12	Nomination Committee		8/8						
Risk Policy Committee			Independent Directors Committee								



12,400 shares

Independent Director **Takeno Yasuzo**

It has been deemed that Mr. Takeno can be expected to perform his role in a way in which his capacity to identify with JPX's corporate philosophy and social mission, as well as his keen insight in corporate law from his expert perspective as legal professional, are reflected in the management of JPX Group.

Significant Concurrent Position(s)

Attorney-at-Law

		◆			◆						
FY2024 Meeting Attendance (New)											
Board of Directors			Audit Committee								
Risk Policy Committee			Independent Directors Committee								



0 shares

Independent Director **Tanaka Yayoi**

It has been deemed that Ms. Tanaka can be expected to perform her role in a way in which her capacity to identify with JPX's corporate philosophy and social mission, as well as her high level of expertise developed at university and educational institutions and her abundant experience and keen insight gained at the Board of Audit of Japan and government committees, are reflected in the management of JPX Group.

Significant Concurrent Position(s)

Visiting Professor, Graduate School of Public Policy, The University of Tokyo
Independent Director, IHI Corporation

◆



700 shares

Independent Director **Teshirogi Isao**

It has been deemed that Mr. Teshirogi can be expected to perform his role in a way in which his capacity to identify with JPX's corporate philosophy and social mission, as well as his abundant experience and keen insight in corporate management, are reflected in the management of JPX Group.

Significant Concurrent Position(s)

Representative Director, President and CEO, Shionogi & Co., Ltd.
Outside Director, AGC Inc.
Outside Director, Sumitomo Mitsui Financial Group, Inc.

			◆		◆						
FY2024 Meeting Attendance											
Board of Directors		12/12	Audit Committee		12/12						
Risk Policy Committee			Independent Directors Committee								



1,700 shares

Independent Director **Matsumoto Mitsuhiro**

It has been deemed that Mr. Matsumoto can be expected to perform his role in a way in which his capacity to identify with JPX's corporate philosophy and social mission, as well as his abundant experience and keen insight in law enforcement, are reflected in the management of JPX Group.

Significant Concurrent Position(s)

Outside Audit & Supervisory Board Member, Daiichi Sankyo Company, Limited.

	◆										
FY2024 Meeting Attendance											
Board of Directors		10/10	Audit Committee		9/9						



24,300 shares

Director **Lin Kay**

It has been deemed that Ms. Lin's abundant knowledge and experience regarding all aspects of the exchange business and her experience working at other companies can be expected to benefit the monitoring and supervision of the execution of business at JPX Group.



Biographies of Directors

<https://www.jpjx.co.jp/english/corporate/about-jpx/officer/00-01.html>



Information on the composition of the Nomination, Compensation and Audit Committees and JPX Group's business execution structure (list of executive officers)

<https://www.jpjx.co.jp/english/corporate/about-jpx/officer/index.html>

Risk Management

In its approach to risk management, JPX Group recognizes the importance of maintaining sound and stable business operations to fulfill its public role as a market operator and continue raising corporate value.

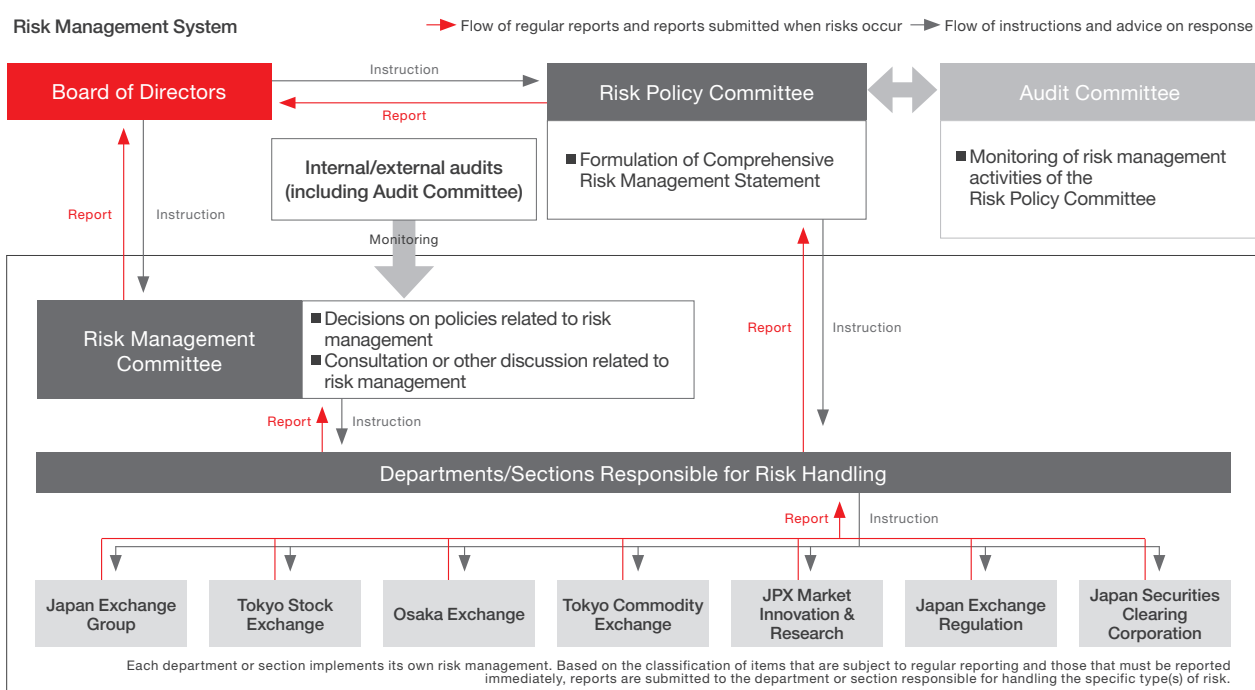
Risk Management System

JPX Group faces numerous risks in the course of its operations, including risks associated with system glitches, compensation in the event of defaults by clearing participants, and administrative matters. The Group has established a Risk Policy Committee, chaired by an outside director, and a Risk Management Committee, chaired by the Group CEO, to address risk. In line with the Group's Risk Management Policy, these committees are responsible for identifying risks as well as developing and implementing measures to prevent such risks. The Group also has a system in place to ensure a swift and appropriate response when risks do or are likely to materialize.

The Risk Policy Committee consists of at least five members, the majority of whom are outside directors. As a rule, the committee is chaired by an outside director. The Risk Management Committee is composed of core members and project members who oversee the risks of specific projects. The Group CEO (who serves as chairperson), COO, full-time audit committee members, the executive officer overseeing the General Administration Department, and the director of the department make up the core members, while the chairperson of the committee assigns project members to specific cases as they arise.

The Risk Management Policy serves to prevent risks by indicating and classifying the risks JPX Group faces. Departments or sections are assigned to handle the classified risks, and information on the assessments of operations and issues to be addressed are periodically brought before the Risk Policy Committee and Risk Management Committee. Each fiscal year, the Risk Policy Committee identifies the significant risks requiring priority action for JPX Group and establishes basic policies for responses to each significant risk. The results of this process are submitted to the board of directors as recommendations in the form of a Comprehensive Risk Management Statement.

Based on the Comprehensive Risk Management Statement it has formulated, JPX Group responds to significant risks and other risks in advance, thereby reducing the likelihood of risks materializing and enabling flexible responses when risks do materialize. In the event of a major issue, the role of the Risk Management Committee is to assemble a comprehensive understanding of the situation and give directions for solving the issue as quickly as possible, and a system has been established to ensure that all necessary information is reported to management promptly and without fail.



Significant Risks

Each fiscal year, we identify the significant risks on a Group basis. We control the possibility of the materialization of these risks by implementing necessary preventive measures. We also implement measures to ensure that we are able to respond flexibly in the event that risks materialize.

JPX Group approaches risk management on two levels: first, JPX Group as a whole works to identify risks in the internal environment, and second, we hold wide-ranging discussion involving the management team

about potential risk factors in the external environment, such as geopolitical risks. Based on the results of these discussions, we then consider which are significant risks. Many risks are detected at the discussion stage. We examine these in detail to identify the risks that require the greatest attention in each fiscal year, on the basis of the potential impact on the whole Group if the risk materializes and the frequency with which such risks are likely to arise. We then take preventive measures targeting specific significant risks.

Risk Classification

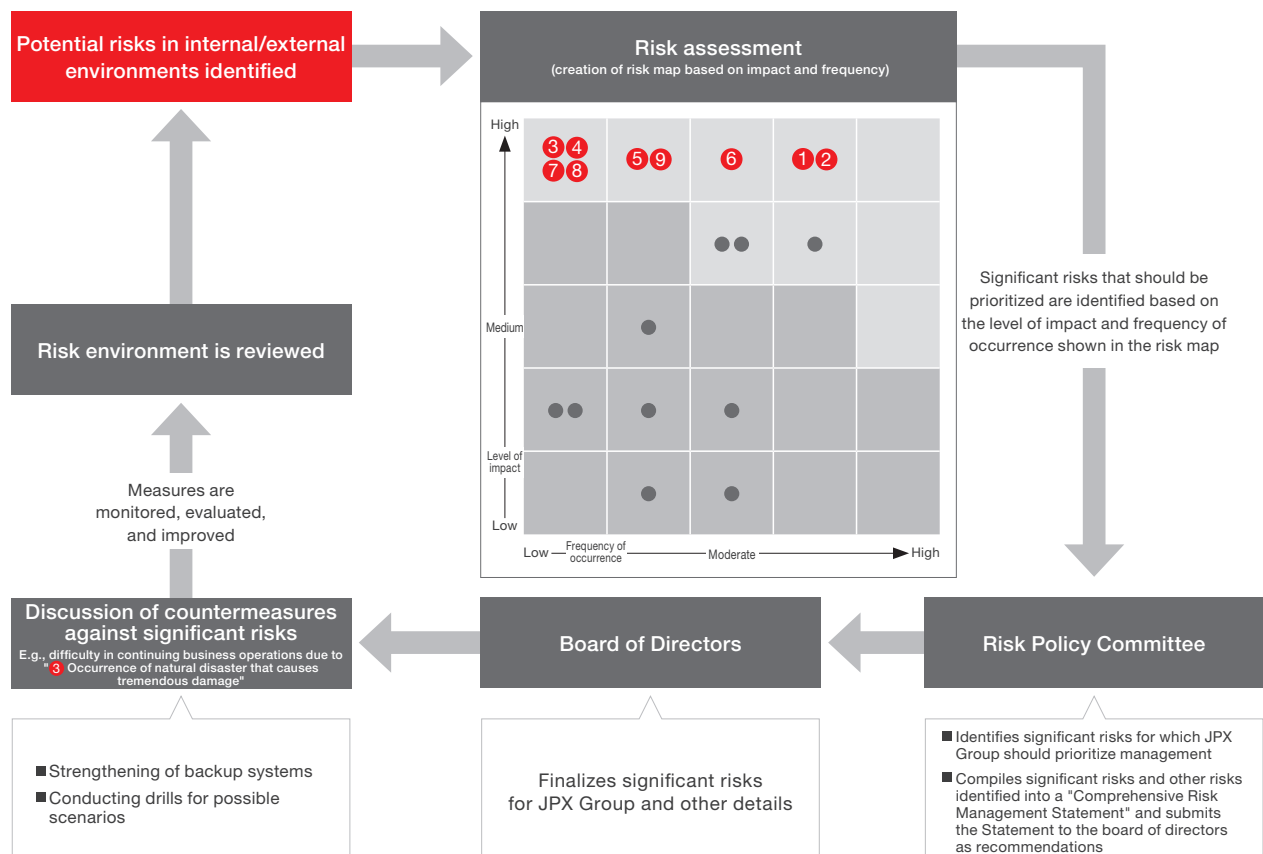
Types of Risk	Examples
Business strategy/ environment risk	Economic fluctuations, legal and regulatory matters, demographic changes, technological innovation, investor trends, public opinion, and failed business choices
Accidents and disaster risk	Major earthquakes, typhoons, tsunamis, epidemics, terrorism, failure/stoppage of social infrastructure, fires, and accidents
System risk	Inadequate hardware capacity and application errors
Legal risk	Violations of laws and regulations in the course of business, business partner's failure to perform on contracts, and the possibilities of having a relationship with anti-social forces
Financial risk	Undermined reliability of financial reporting, lack of funds, and loss or damage to assets, including deposits
Human risk	Personnel shortage, industrial accidents, and occupational hazards
Information security risk	Information leakage, unauthorized access, and computer viruses
Operational risk	Mistakes in operational procedures and misjudgments
Risk of associated companies	Emergence of risk in group companies
Reputational risk	Decline in public reputation due to acts and statements by employees and/or third parties
Credit risk and liquidity risk arising from obligation assumption business	Losses incurred or failure to perform clearing obligations resulting from default or other causes instigated by clearing participants
Other risks	Risks other than those mentioned above

Risk Management

Major Significant Risks and Our Responses to Them

Types of Risk	Risk Phenomena	Responses to Risk Phenomena
System risk	① System failures	■ Implementing standardized development methods and adequate operational tests ■ Maintaining thorough quality control pertaining to development and operations ■ Implementing regular drills for system failure ■ Implementing recurrence prevention measures in response to system failure (strengthening resilience)
Information security risk	② Cyberattacks	■ Implementing regular information security diagnostics by external vendors ■ Implementing regular drills ■ Implementing e-learning
Business continuity risks	③ Occurrence of natural disaster that causes tremendous damage ④ Occurrence of terrorist attack ⑤ Occurrence of pandemic	■ Building of eastern and western backup capabilities (for both business operations and systems) ■ Implementing regular drills (for disaster and terrorism responses) ■ Reviewing contingency plans, etc. ■ Recommending and adopting telework and staggered working hours ■ Using nearby backup offices, etc.
Operational risk	⑥ Administrative or similar errors in business operations related to market operations (system operations, etc.), listing services, or clearing services	■ Implementing regular operation drills ■ Continuous review of operational manuals and processes (including promotion of automation and AI utilization)
Credit risk and liquidity risk arising from obligation assumption business	⑦ Default, etc. by clearing participants	■ Ensuring adequacy of margin and other sources of funds ■ Daily monitoring of clearing participants and regular holding of drills in case of participant bankruptcy
Business strategy/environment risk	⑧ Changes in operating environment (impact on market from changes in regulations or rules due to laws, etc.) ⑨ Delayed or insufficient response to promoting sustainability	■ Performing regular monitoring of progress of business strategies and changes in the business environment, etc., and reviewing priority strategies corresponding to proper budgetary operation and changes in the operating environment ■ Reviewing market rules and structures in fitting with discussion and debate among market stakeholders, etc. (strengthening of market functions, provision of fair and highly convenient trading services, etc.) ■ Formulating Environmental Vision and Environmental Policy ■ Disclosing information based on the TCFD Recommendations

System for Identifying Significant Risks



Business Continuity in Emergencies

JPX Group's core responsibility as a market operator within the social infrastructure is to provide reliable markets for market users to trade with confidence. Therefore, even when major risks do materialize, such as in the form of natural disasters or terrorist acts, the Group must be prepared to answer the call of society and continue operations. To be ready for such situations, JPX Group established our Business Continuity Plan (BCP) to define our response to materialized risks.

The basic concept of the BCP is to continue operations as far as possible even in times of emergency. If suspension is unavoidable, then the affected operations should be resumed as soon as possible. For instance, even if a serious incident, such as a major earthquake, occurs and operations are suspended, in principle, JPX Group aims to resume clearing operations in about two hours and trading operations within 24 hours to prevent the loss of a trading day to the greatest extent possible.

To achieve said targets, in addition to its primary data center where operations normally take place, the Group also maintains a secondary (backup) center, which is located in a different area to avoid having both centers be simultaneously affected. If the primary center is affected by a disaster and cannot continue operations, operations are switched over to trading and other core systems in the backup center to allow trading to resume as quickly as possible. In a bid to help further enhance the reliability of the Japanese market, we have constructed a secondary (backup) center in the Kansai region away from Tokyo, where there would be little to no fear of shortages of electricity and other essential services in the event that a major large-scale earthquake or other disaster occurred in the Tokyo Metropolitan area and caused damage to its social infrastructure.

Furthermore, in preparation for a large-scale earthquake and other wide-area disasters, the core telecommunications network, arrownet, is designed as an optical ring network that surrounds the Tokyo Metropolitan area. Even if a part of the network is severed by a disaster, transmissions will be re-routed immediately, ensuring that connections are maintained. The BCP also defines the response policy for each type of identified risk, as well as detailed plans for establishing the BCP emergency headquarters and securing personnel and communication methods. JPX Group reviews its BCP

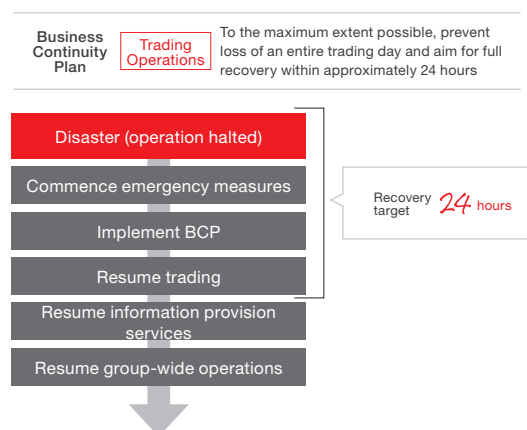
at least once a year and revises it accordingly in light of changes in the environment.



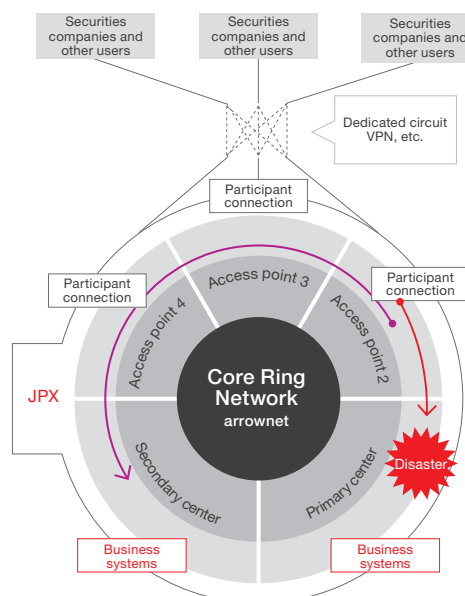
Business Continuity Plan

<https://www.jpx.co.jp/english/corporate/governance/risk/bcp/index.html>

Procedures for Restoring Trading Operations Based on BCP After Disaster Occurs



System for Responding When BCP is Implemented



Contingency Plan

Alongside the need for exchanges to provide opportunities for trading, in order to maintain fair price formation in the market, it is also necessary for securities companies and other market participants who place orders to the exchange market to maintain a certain level of preparedness. JPX Group formulates contingency plans for disseminating and publishing its basic response policies when it becomes difficult to continue trading, such as when there is a glitch in an internal or external system, a natural disaster or terrorist act, or when parts of the social infrastructure cease to function. For example, in the case of a natural disaster, we consider the necessity of trading suspension after taking fully into account past market share based on the trading value of trading participants that are unable to participate in trading (generally above 50% of overall trading value), the extent of disasters and the state of system failure (including the number of trading participants, etc. that are unable to participate in trading, their attributes, and the status of the entire financial market), and social demands.

Systems Capacity Management

In recent years, with faster systems and the growing prevalence of co-location services, there has been an increase in the number of orders processed by JPX Group trading systems. In view of these changes, JPX Group is monitoring market trends and system usage and working to manage overall system capacity across the corporate group by utilizing projections to prepare for and prevent any system capacity issues that may arise. Capacity management is not conducted by IT departments alone, but also by the Capacity Management Committee chaired by the CIO. The cross-divisional committee is made up of executive officers and departments involved in market operations.

Geared toward realizing even better systems, the committee monitors, analyzes, and assesses system operation conditions, works on improvements for current systems, and provides feedback on the design and development of next-generation systems. The committee employs the PDCA cycle in its activities, while reporting to management periodically and on an as-needed basis to make swift and appropriate decisions on priority or emergency issues related to system capacity.

Actions on Cybersecurity

As JPX Group holds responsibility for key financial market infrastructure, it views cybersecurity as a significant management risk, and accordingly, actively advances cybersecurity measures, as well as implementing a variety of measures to provide safe and secure services to investors and other market users under the "Basic Policy on Cybersecurity."

We maintain cybersecurity standards based on domestic and international guidelines, clearly defining the responsible departments, and realize governance that responds to a changing environment by enabling the PDCA cycle of risk assessment, monitoring, and improvement to function under a company-wide communication framework that includes the board of directors. As part of our incident response framework, we have established JPX-CSIRT, which monitors and addresses threats 24 hours a day, 365 days a year. Through regular drills, we maintain a system that enables swift and accurate response in the event of an emergency. In the event of an incident, we have set business continuity resumption targets based on our Business Continuity Plan (BCP).

Additionally, as part of our efforts in cybersecurity measures, we implement measures at each stage, from system and service development to delivery, based on our "Security by Design" philosophy. In terms of human resources, we have built an effective team by securing specialized personnel through internal training and the utilization of external resources. Furthermore, we promote an understanding of the importance of cybersecurity through education and drills for all employees. In addition, through the issuance of cautions throughout the entire supply chain surrounding JPX Group and through conducting collaborative training with relevant organizations, we strive to enhance the reliability of the entire financial market.



Basic Policy on Cybersecurity
<https://www.jpx.co.jp/english/corporate/governance/security/cybersecurity/index.html>

Internal Control Systems and Compliance

Besides maintaining well-designed business operating systems for stable and appropriate execution of business, all officers and employees observe laws and regulations and demonstrate a strong sense of ethics in the performance of their daily tasks.

Internal Control Systems

JPX Group has a Basic Policy on Establishment of Internal Control System and develops and maintains internal control systems based on this policy. To ensure the proper operation of business processes throughout the Group, we create systems for ensuring compliance with laws and regulations, safeguarding and managing information, managing risk of loss, ensuring efficient operations, and for internal controls. To ensure that these systems are functioning properly, the Internal Auditing Office, an independent unit that reports directly to Representative Executive Officer, Group CEO and COO, periodically confirms and assesses the status of internal controls.



Basic Policy on Establishment of Internal Control System
<https://www.jpx.co.jp/english/corporate/governance/internal-control/index.html>

Compliance Program

JPX Group has a Charter of Corporate Behavior in place as a set of standards for ethics and morals, which clearly states the expected corporate behavior. In order to ensure the effectiveness of internal controls, the Group continues to increase awareness of compliance among management and employees by continually renewing internal systems, as well as through education and training.



Compliance Program
<https://www.jpx.co.jp/english/corporate/governance/compliance/index.html>

Charter of Corporate Behavior

The Charter of Corporate Behavior serves to make clear JPX Group's social responsibilities as an open and transparent corporation positioned in harmony with society. The Charter states the basic policies for corporate behavior in terms of ethics and morals. It also clearly indicates the Group's investor-centric stance and reflects our commitment to being an open company.

Organizational System

The Group CEO assumes responsibility for compliance and oversees all compliance-related matters. The Group CEO is assisted by the executive officer responsible for compliance and the Compliance Secretariat. The Group has a Compliance Hotline in place to provide a channel for reporting information and making inquiries regarding clear or suspected violations of laws and internal rules, including against the Charter of Corporate Behavior. When certain behavior involving Group officers or employees is suspected to be in violation of compliance, the hotline makes it possible to detect such acts promptly from an incoming call and introduce measures and frameworks to address them.

Activities for Continued Awareness

JPX Group engages in a number of activities to maintain awareness of compliance issues. These include cross-divisional meetings among all staff in charge of compliance matters, distributing compliance handbooks, communicating knowledge on compliance through the intranet, and holding e-learning courses.